
UNIT 22 EMPLOYMENT AND UNEMPLOYMENT: POLICY CHALLENGES

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22.0 OBJECTIVES

After going through this unit, you will be able to:

- know the various concepts used in the measurement of employment and unemployment by NSSO and PLFS;
- explain the various dimensions of unemployment in India;
- examine the growth of employment in the post-reform period;
- assess the quality of employment; and
- suggest various measures towards employment policy framework.

22.1 INTRODUCTION

Engagement of a person in any economic activity is central to the concept of identifying a worker. A worker is one who participates in any economic activity. His or her human capital endowment is utilised by the society (or

the economy) and in the process, he or she earns a living. All workers constitute the workforce or the employed.

Those who are not workers are called non-workers. Some among the non-workers may be seeking or looking for work or are available for work. Such persons constitute the unemployed. The workforce and the unemployment together make up the labour force. The entire population of any area, region or country is, thus, made up of three components; the workforce (the employed), the unemployed and the non-workers. The third component is also referred to, for obvious reasons, as the population which is not a part of the labour force. The first is engaged in economic activity and produces the national product, the second is available for being engaged in such activity but the economy is unable to utilise it and the third is not available for utilisation in economic activity. Schematically, workforce can be illustrated as follows:

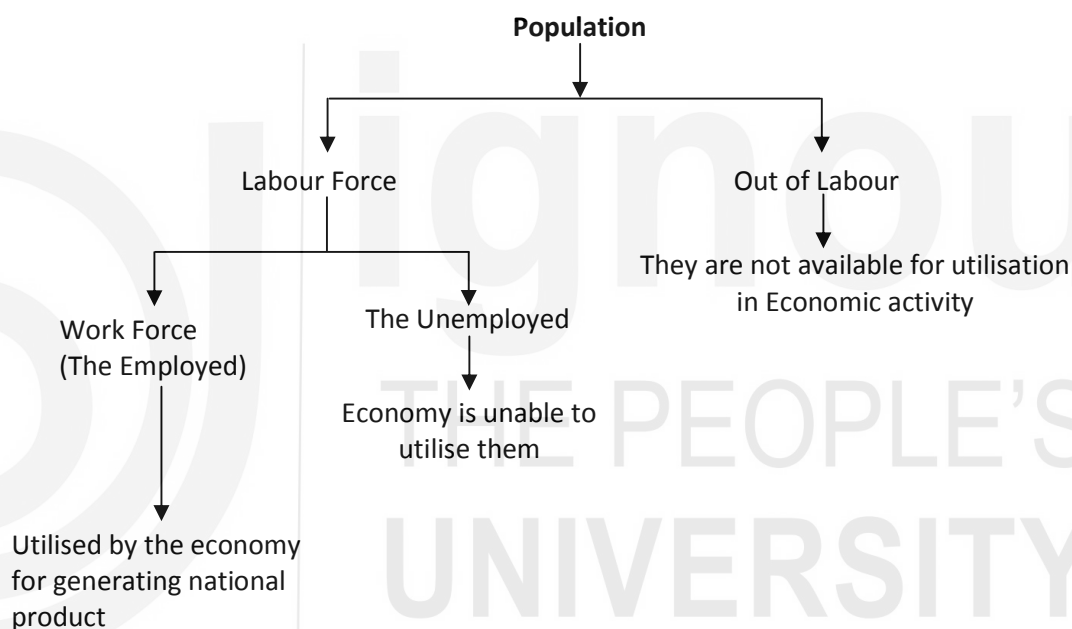


Fig. 22.1: Labour Force, Work Force and the Unemployed

How are the workers or the employed and the other two categories of people in a given area – a region or a country, say India – identified and enumerated? How are the workforce and the labour force measured? We shall answer these questions in the next section.

22.2 ENUMERATION OF WORKERS

Now, let us discuss about the sources of data in India on workers. In India, two main organisations which generate and compile data on workers are the National Sample Survey Organisation (NSSO) and Office of the Registrar General of Census. These two organisations generate quite a substantial data on the workers, employment and unemployment, etc. on regular intervals for the entire country. Among these two sources, NSSO provides more data on employment and unemployment. For understanding and studying the data given in National Sample Survey (NSS) Rounds, it is important to be well

aware of the concepts that were used in these data collection exercises. NSSO used the concept of 'Usual Principal Status' (UPS) as a time reference period for identifying workers. In more general terms, NSSO used three reference periods to describe the activity status of a worker. These reference periods are— a year, a week and a day.

Starting from 27th round during Oct, 1972-Sep, 1973, the quinquennial employment-unemployment surveys (EUs) of the NSSO provided relevant data on key features of the labour force as well as the status of the decent work. These surveys continued till 68th round conducted during 2011-12. Towards improving the existing system (quinquennial surveys— EUs) of collecting data, the Periodic Labour Force Survey (PLFS) has been designed to replace its previous quinquennial rounds on the employment-unemployment situation and gather the annual estimates of the labour force on employment and unemployment along with quarterly estimates for the urban areas. These annual PLFS provide quarterly statistics for urban areas on current weekly status (CWS) and annual estimates of employment indicators both for rural and urban areas on CWS and usual status basis.

Since there has been a significant re-structuring of the previously existing questionnaire, survey methodology and inquiry schedule, labour market estimates by PLFS is not strictly comparable with NSSO-EUs. For comparability, the results of PLFS with earlier rounds of NSSO surveys need to be understood in the context with which the survey methodology has been designed.

22.2.1 Conceptual Framework of Key Employment and Unemployment Indicators

The Periodic Labour Force Survey (PLFS) gives estimates of key employment and unemployment indicators like the Labour Force Participation Rates (LFPR), Worker Populations Ratio (WPR), Unemployment Rate (UR), etc. These indicators are defined as follows:

- a) Labour Force Participation Rate (LFPR): LFPR is defined as the percentage of persons in labour force (i.e., working or seeking or available for work) in the population. Generally, by population we refer people in the age group 15-60 years, the segment of the population which can potentially work, the rest (children below 15 years and elderly above 60 years) are considered as the dependent population. Sometimes the working-age population may be differently specified.
- b) Worker Population Ratio (WPR): WPR is defined as the percentage of employed among the persons in the labour force.
- c) Unemployment Rate (UR): UR is defined as the percentage of person unemployed among the persons in the labour force.
- d) Usual Principal Status Unemployment (UPS): this is measured as the number of persons who remained unemployed for a major part of the year. The persons covered by the survey may be classified into those working and/or available for work in their principal activity, and those

working and/ or available for work in a subsidiary activity, that is, a sector other than their principal activity. Hence, within the usual status concept, the estimates are derived on the usual principal status as well as the usual principal and subsidiary status basis. The usual status unemployment rate indicates chronic unemployment, because all those who are found usually unemployed in the reference year are counted as unemployed. This measure is more appropriate to those in search of regular employment, e.g., educated and skilled persons who may not accept casual work. This is also referred to as 'open unemployment'.

- e) Usual Principal and Subsidiary Status Unemployment (UPSS): Here person is considered unemployed, if besides UPS, those available but unable to find work on a subsidiary basis during a year.
- f) Activity Status-Usual Status: The activity status of a person is determined on the basis of the activities pursued by the person during the specified reference period. When the activity status is determined on the basis of the reference period of last 365 days preceding the date of survey, it is known as the usual activity status of the person.
- g) Activity Status-Current Weekly Status (CWS): The activity status determined on the basis of a reference period of last 7 days preceding the date of survey is known as the current weekly status (CWS) of the person.
- h) Activity Status-Current Daily Status (CDS): The activity status determined on the basis of a reference period of each day of the 7 days preceding the date of survey is known as the current daily status (CDS) of the person.

Creation of employment opportunities depends on the volume and composition of economic activity in the economy, that is, the total output of goods and services in the economy and its structure. The total output of goods and services is called the Gross Domestic Product (GDP). Thus, levels of employment in an economy depend on the size and composition of its GDP. Factors that affect this basic relationship are: (i) the availability of capital, (ii) the availability of skills and expertise among the employed persons and (iii) the manner in which capital and labour (the number of employed persons) combine to produce the output of goods and services. In other words, a number of inter-dependent factors like material, financial and human capital, knowledge and technology utilised, productivity of labour and capital, and Government policies shape this relationship.

22.3 LABOUR FORCE AND WORK FORCE PARTICIPATION RATES

As stated in the previous section, labour force refers to that segment of population which supplies or offers to supply labour for production and therefore includes both employed and unemployed persons.

Labour Force Participation Rate (LFPR) is a measure of the proportion of the country's population that is engaged actively in the labour market, either by working or seeking work. It provides an indication of the size of the supply of labour available to engage in the production of goods and services. The gap between average annual growth of labour force and employment growth provides hints towards increase/ decrease in the existing stock of unemployed people. Work Participation Rate (WPR) is a measure of the proportion of the country's labour force who are engaged in work. It provides information on the ability of the economy to generate employment.

Throughout the period between 1983 and 2018-19, male participation remained higher both in labour and workforce. Using the usual principal and subsidiary status (UPSS) criterion, labour force participation rate, recorded at 42.9 per cent in 1983, declined to 42.3 per cent in 1993-94, and again declined to 37.5 per cent in 2018-19. Among women, rates were found to be 29.8, 29.0 and 18.6 per cent in the three years respectively. Female participation per se in rural areas was much higher than in urban areas. Urban male participation rates (both labour force and workforce) were higher than rural male participation in 1999-2000, 2004-05, 2009-10 and 2018-19. (Table 12.1)

LFPR for rural males increased marginally in 2009-10 compared to 2004-05 while for urban males it actually declined. The most striking revelation of NSSO's 66th round survey is the significant fall in female work participation rates (FWPR) between 2004-05 and 2009-10. Rural FWPR dropped to reach 20 per cent in principal status work (UPS) and 26 per cent in usual (principal + subsidiary) status work (UPSS) in 2009-10. However, it marginally increased to 19.1 per cent in 2018-19. In urban areas too, FWPR has fallen substantially from 13.5 per cent in 2004-05 to below 12 per cent in 2009-10 in the case of UPS employment and from close to 17 per cent to below 14 per cent in UPSS during the same period (Mazumdar, 2011). With principal status or main work/employment as well as subsidiary status or marginal work having both lost ground, it appears that relatively more durable work as well as shorter bursts of temporary employment have become less available to women. Two possible explanations may be offered for this decline: firstly, women have simply withdrawn from the labour market in India due to social conservatism. Secondly, more women are pursuing higher education resulting decline in women LFPR. However, decline in women LFPR across all age groups indicates that there must be some other factors inhibiting women from participating in the labour market. The decline in the LFPR for women irrespective of age is possibly due to decline of overall employment opportunities compelling the women for withdrawal from the labour market.

Thus, labour force participation rate as percentage of population has not remained fixed over a period of time. There has been specific participation rate changes overtime in response to economic, social and cultural factors. This is particularly true for women and children. Most women from poor households participate in the labour force, but they may withdraw from it with increase in household income and then join again at much higher level of income and also when they have acquired a certain level of education. So

female labour force participation rate is observed to have a U-shaped relationship with the per capital income level (India Labour and Employment Report, 2012).

Table 22.1: Labour Force and Work Force Participation Rates (CDS basis) (per cent)

	1983	1993-94	1999-00	2004-05	2009-10	2017-18	2018-19
Labour force participation rates (LFPR)							
Rural Male	52.7	53.4	51.5	53.1	53.6	54.9	55.1
Rural Female	21.9	23.2	22.0	23.7	19.7	18.2	19.7
Urban Male	52.7	53.2	52.8	56.1	55.6	57.0	56.7
Urban Female	12.1	13.2	12.3	15.0	14.1	15.9	16.1
Work Force participation rates (WFPR)							
Rural Male	48.2	50.4	47.8	48.8	50.1	54.9	52.1
Rural Female	19.8	21.9	20.4	21.6	18.2	18.2	19.1
Urban Male	47.3	49.6	49.0	51.9	52.2	57.0	52.1
Urban Female	10.6	12.0	11.1	13.3	11.7	15.9	14.5

Source:

- 1) Various rounds of NSSO survey on employment and unemployment.
- 2) PLFS Report 2018-19 for 2017-18 and 2018-19.4

Check Your Progress 1

- 1) What are various measures of employment and unemployment?
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- 2) Do you think that CDS criterion is the most inclusive measure of unemployment? Why?
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- 3) Differentiate between worker, non-worker and unemployed.
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22.4 DIMENSIONS OF UNEMPLOYMENT

The unemployment rate is the ratio of the number of unemployed persons in the labour force per thousand.

Based on the Periodic Labour Force Survey (PLFS)- Annual Report (July, 2018 – June, 2019), the data relating to unemployment situation has been incorporated in Table 22.2.

- 1) As per the latest Annual report (by the Periodic Labour Force Survey 2018-19) on the employment situation, the unemployment rate in India was 5.8 per cent at the all-India level following the usual states criterion. It was 5.6 per cent among males and 3.5 per cent among females in rural areas while the rates were 7.1 per cent among males and 9.9 per cent among females in urban areas.
- 2) Among the educated persons falling within the age group of 15 years and above, unemployment rate was 11.2 per cent in rural areas and 10.8 per cent in urban areas.
- 3) In 2018-19, the unemployment rate among rural male youth and rural female youth (persons of age 15-29) was 16.6 per cent and 13.8 per cent respectively. Unemployment rate among urban male youth and female youth was much higher to the extent of 18.7 per cent and 25.7 per cent respectively.

Thus, it is clear that unemployment rate is not only on the rise in the country but is at an all-time high. It has been the highest since 1977-78 among the males and highest since 1983 among the females in the rural as well as in the urban areas. The unemployed persons in 2017-18 have more than doubled to 28.5 million from 10.8 million in 2011-12.

The key features of the unemployment situation in India (as given by the PLFS 2018-19) are:

- 1) The rise in the unemployment rate has occurred across states. The states which crossed 5 per cent unemployment rate are Goa, Manipur, Kerala, Mizoram, Nagaland, Odisha, Uttar Pradesh, Arunachal Pradesh, Himachal Pradesh, Jammu and Kashmir, and Rajasthan. Some of these states namely Goa, Manipur, Kerala, Mizoram and Nagaland crossed double digits rate of unemployment.
- 2) Regional variation in unemployment has declined since 2009-10 indicating convergence of unemployment rate across states.
- 3) The possible reason for high unemployment rate in the urban sector are migration of surplus labour from the rural areas, which accelerates with increase in connectivity between the two sectors. This leads to inference that higher level of urbanisation corresponds to higher unemployment.

Further, availability of the consumption support schemes particularly in the rural areas, rising opportunities for young educated and school dropout young adults, higher wages due to MNREGA effect— have eased the situation of

large-scale underemployment visible in terms of residual absorption of labour in low productivity activities. This has resulted in higher rate of open unemployment. Also, due to rise in the demand for education and skills, many young boys and girls prefer to remain unemployed and keep searching for suitable jobs. The rising urbanisation reflected in large scale emergence of census towns in 2011 has made the unemployment rate more visible.

Table 22.2: Unemployment Rates (as percentage of Labour Force)

Year	UPS	UPSS	CWS	CDS
1972-73	3.80	1.61	4.32	8.35
1977-78	4.23	2.47	4.48	8.18
1983	2.77	1.90	4.51	8.28
1987-88	3.77	2.62	4.80	6.09
1993-94	2.56	1.90	3.63	6.03
1999-2000	2.81	2.23	4.41	7.32
2004-05	3.18	2.33	4.53	8.34
2009-10	2.50	2.00	3.60	6.60

Source: India Labour and Employment Report, 2012

Table 22.3: Unemployment Rate (as percentage of Labour Force)

	2017-18			2018-19		
	Rural	Urban	Total	Rural	Urban	Total
Male	5.8	7.1	6.2	5.6	7.1	6.0
Female	3.8	10.8	5.7	3.5	9.9	5.2
Person	5.3	7.8	6.1	5.0	7.7	5.8

Source: Periodic Labour Force Survey – Annual Report (July, 2018 – June, 2019)

The high incidence of unemployment among the educated in general and women in particular reflects that the pace of creation of diversified employment opportunities is lagging behind the pace of expansion of education. The educational and training courses offered by the educational and training system and their curricular content is becoming increasingly irrelevant to the kind of employment opportunities being generated by the economy. Gender discrimination in the labour market and at the workplace also seems to be adding to the problem. These features of the unemployment situation call for steps like: (i) expansion and diversification of the economy, especially the rural economy, (ii) restructuring of the education and skill development system to make it responsive to the world of work and (iii) focus on removal of gender bias in the labour market, the workplace and in skill development.